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WEEKLY PERSPECTIVE ON CURRENT MARKET SENTIMENT

A Little Give Back Should Not Be a Surprise

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Last Week's S&P 500 Index:
-0.3%

Key takeaways

- *The S&P 500 has had a nice move higher since the early April lows, but markets do not move in one direction forever.*
- *There are a number of issues for investors to worry about, but the recent pullback is overdue and the fundamentals remain solid.*

Since the early April low in the S&P 500, the index rallied nearly 11% to the recent high set last week. And if you didn't happen to notice, that was less than 20 points away from the all-time record high notched in late January of this year. That milestone was set just before a very quick six-trading-day selloff where the index fell 10% for the first time since early 2016. The lesson here? Stocks don't go straight up forever. There is always a pullback at some point—just like there is always another recession somewhere out there on the horizon. It's just the nature of the market and the economy. What goes up must, at least temporarily, eventually go down.

The latest trigger for downside volatility appears to be fears surrounding emerging market countries like Turkey. The country's currency, the lira, has plunged in recent months as economic fundamentals and the domestic political environment have deteriorated. Take a look at a chart of just about any index of an emerging market currency basket versus the U.S. dollar; it isn't a pretty sight. The financial media are running headlines suggesting there is a "global market panic" over the tumble in the Turkish lira and its imploding economy. It also didn't help that President Trump announced that the U.S. would be doubling the tariffs on steel and aluminum from Turkey. But really, a global panic due to economic and political difficulties in a country that made up less than 1.4% of total global gross domestic product (GDP) in 2017? That hardly seems plausible given that math.

But yes, one could make a rational argument that the fear of "contagion" spreading among emerging market countries in general is real. And there continues to be concerns over the strength of China's economy, which clearly has a meaningful impact on emerging economies as a whole. One can add these concerns to the list of worries, which also includes global central banks, led by the Federal Reserve, raising interest rates and/or slowing liquidity growth that was juiced in the wake of the financial crisis 10 (seemingly long) years ago. Higher inflation, slowing global growth, and more assertive central bankers are usually a headwind for stocks.

While our macro outlook calls for good (not great) economic growth and modestly higher inflation, it might be time for the stock market to take a time-out and one step back as the gains of recent months are consolidated. There are numerous global uncertainties, but we continue to believe the probability of an all-out trade war is relatively low. However, we acknowledge the recent heightened rhetoric has likely increased the odds somewhat.

The bottom line is that the stock market, just like any other financial market, is not a one way street. As this strategist mentioned in a recent piece, this has been a two or three steps forward followed by one step back kind of market. Stocks have climbed higher, staying above the previous low in this stair-step fashion over the last four-plus months. After this type of steady climb, a little give back in the near term should not be a surprise.

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